Table of Contents

Valuation Techniques:

The following describes valuation techniques used to value our assets held in the non-qualified deferred compensation plan and derivatives.

Assets held in the non-qualified deferred compensation plan

Assets valued using Level 1 inputs in the table above represent assets from our non-qualified deferred compensation program. The funds in the non-qualified deferred compensation program are valued based on the number of shares in the funds using a price per share traded in an active market.

Investments are considered impaired when a decline in fair value is judged to be other-than-temporary. If the cost of an investment exceeds its fair value, among other factors, we evaluate general market conditions, the duration and extent to which the fair value is less than cost, our intent and ability to hold the investment, and whether or not we expect to recover the security's entire amortized cost. Once a decline in fair value is determined to be other-than-temporary, an impairment charge is recorded and a new cost basis in the investment is established.

Derivatives

We primarily use forward contracts, with maturities generally less than four months, designated as cash flow hedges to protect against the foreign currency exchange rate risks inherent in forecasted transactions related to purchase commitments and sales, denominated in various currencies. We also use derivatives not designated as hedging instruments to hedge foreign currency balance sheet exposures. These derivatives are used to offset currency changes in the fair value of the hedged assets and liabilities. Fair values for all of our derivative financial instruments are valued by adjusting the market spot rate by forward points, based on the date of the contract. The spot rates and forward points used are an average rate from an actively traded market. At March 31, 2018 and 2019, all of our forward contracts have been designated as Level 2 measurements.

5. Trade Accounts Receivable and Contract Liabilities:

	Fiscal Year Ended March 31,	
	2018	2019
Gross Accounts Receivable - Trade	$ 300,016	$ 273,053
Less:		
Allowances for doubtful accounts	1,893	1,276
Stock rotation and ship from stock and debit	15,989	14,140
Sales returns and discounts	6,875	646
Total allowances	24,757	16,062
Accounts Receivable - Trade, net	$ 275,259	$ 256,991

Charges related to allowances for doubtful accounts are charged to selling, general, and administrative expenses. Charges related to stock rotation, ship from stock and debit, sales returns, and sales discounts are reported as deductions from revenue. Please refer to Note 6, "Revenue Recognition," for additional information.

	Fiscal Year Ended March 31,		
	2017	2018	2019
Allowances for doubtful accounts:			
Beginning Balance	$ 423	$ 1,285	$ 1,893
Charges	785	209	276
Applications	77	(1,524)	(897)
Translation, Acquisition and other	-	1,923	4
Ending Balance	$ 1,285	$ 1,893	$ 1,276

	Fiscal Year Ended March 31,		
	2017	2018	2019
Stock rotation and ship from stock debit:			
Beginning Balance	$ 14,314	$ 14,853	$ 15,989
Charges	25,470	30,523	28,855
Applications	(24,931)	(29,387)	(24,378)
Stock rotation reclassified to liability	-	-	(6,326)
Ending Balance	$ 14,853	$ 15,989	$ 14,140